Liberty STEM Charter School - Loan Readiness Report

SchoolStack Budget Consultant Analysis

Executive Summary

Liberty STEM Charter School projects $18,125,509 in Year 5 revenue with a 69.3% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story.

Lender Readiness Assessment

Almost there — a few targeted edits will tighten the story.

Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

Key Financial Metrics

Metric	Value	Status	Interpretation
Revenue per Student (Year 1)	$24,375	' Good	Healthy per-student revenue provides a solid foundation for sustainability.
Cost per Student (Year 1)	$14,082	' Good	Total cost per student is $14,082, well within revenue per student of $24,375, leaving a healthy margin.
Staffing Cost (% of Revenue)	35.3%	' Good	Staffing costs are well-controlled, giving you room for other priorities.
Operating Cost (% of Revenue)	22.2%	' Good	Operating costs are lean relative to revenue.
Net margin (Year 1)	42.2%	' Good	Year 1 shows a healthy surplus, a strong start for a new school.
Net margin (Year 5)	69.3%	' Good	By Year 5 the model shows strong net income, and your school is on track for financial sustainability.
5-Year Revenue Growth	271.8%	' Good	Strong projected revenue growth over the 5-year period.
Capacity Utilization (Year 5)	100.0%	' Good	Year 5 enrollment approaches facility capacity, an efficient use of space.
Days Cash on Hand (Year 1)	267 days	' Good	Cash reserves cover 90+ days of expenses — a strong liquidity position.
Cash Trough (Minimum Cash Month)	Month 1: $200,000	' Good	Your lowest cash point is Month 1 at $200,000. You have enough reserves to weather the collection gap — this is what lenders want to see.
Debt Service Coverage Ratio (Year 1)	30.64x	' Good	DSCR is above 1.25x, and your operating income comfortably covers debt payments.
Public Funding (% of Revenue)	94.7%	' At Risk	The model is heavily dependent on public funding, so develop contingency plans for policy changes.

Operating Reserve (Year 5)	77.7 months	' Good	By Year 5, the school has built a healthy operating reserve of 3+ months, a strong foundation for long-term stability.

Strengths & Risks

Biggest Strength

Strong Year 5 net income

Biggest Risk

Public funding is the primary revenue source — model disbursement timing carefully and maintain cash reserves for funding gaps

Recommendations

Priority	Recommendation	Details
MEDIUM	Charter Funding Timing & Cash Flow Risk	94.7% of revenue comes from public per-pupil funding — this is enrollment-driven income and a strong foundation. The primary risk is disbursement timing: charter funding follows a state-defined schedule, so ensure you have cash reserves or a line of credit to cover gaps between enrollment counts and payment receipt.
MEDIUM	Stress-Test Your Enrollment Assumptions	Model what happens if enrollment comes in 20% below plan. Understanding your downside scenario helps you prepare contingency plans.
LOW	Document Your Growth Strategy	Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

Revenue Composition

Year	Tuition & Fees	Public Funding	Philanthropy
Year 1	1.0%	94.7%	4.3%
Year 2	1.1%	97.2%	1.7%
Year 3	1.1%	98.9%	0.0%
Year 4	1.1%	98.9%	0.0%
Year 5	1.1%	98.9%	0.0%

Cost Structure

Year	Staffing % of Rev	Facility % of Rev	Total OpEx % of Rev
Year 1	35.3%	4.5%	22.2%
Year 2	32.0%	3.1%	12.8%
Year 3	28.3%	2.4%	11.8%
Year 4	23.6%	1.9%	11.2%
Year 5	19.9%	1.6%	10.7%

Cumulative Financial Trajectory

Year	Cumulative Net Income	Reserve (Months)
Year 1	$2,058,592	8.8 months
Year 2	$6,852,771	21.0 months
Year 3	$13,806,629	35.4 months
Year 4	$23,457,216	54.5 months
Year 5	$36,020,770	77.7 months

Stress Test Scenarios

Scenario	Y1 Net Income	Final Net Income	Break-Even	Reserve (mo)	Y1 DSCR	Runway (mo)
Enrollment 20% Below Plan	$1,440,891	$9,249,388	Y1	60.7	21.74x	60+
Loss of Philanthropy	$1,864,544	$12,577,839	Y1	77.3	27.84x	60+
Hard revenue only	-$2,752,123	-$5,352,832	None	0.0	-38.62x	1
Occupancy +15%, Personnel +5%	$1,931,744	$12,274,215	Y1	71.5	28.81x	60+
Revenue Delayed 3 Months	$854,127	$8,226,462	Y1	47.9	13.30x	60+
Interest Rate +2%	$2,065,216	$12,570,178	Y1	77.9	27.78x	60+